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IDEA

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Alphabet Inc. | North America

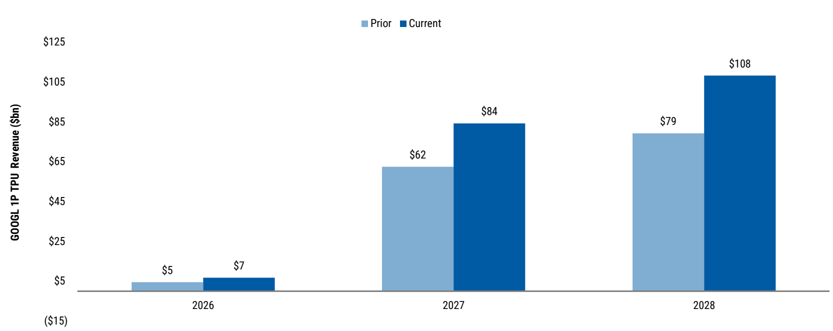
$200bn of 1P TPU Revenue on the Way and 3 Catalysts Ahead

We raise TPU 1P sale estimates to ~$27bn/GW (vs. $20bn prior), now assuming 30% GMs. Cloud '27 rev/EBIT rise by 6%/2%, and Cloud reaches ~50% of GOOGL EBIT by '28. TPU sales drive revisions, but Gemini 4 (late '26/early '27), efficient models and GenAI productization key to re-rating. OW, $400 PT.

Raising TPU First Party Sale Assumptions... In Alphabet Inc.: Diving into '28 Compute Capacity, TPU Sales and Revenue to Come (29 Jun 2026), we detailed the multi-billion dollar TPU 1P sale opportunity at GOOGL. Our and investor views about how these sales are functioning/structured and how large they could be continue to evolve. Notably, recent press reports point to GOOGL committing to supply ~1mn TPUs (which we estimate is ~1.3 GW) for ~$35bn, which would translate to ~$27bn/GW. We previously assumed GOOGL was selling the racks/ systems in these 1P relationships for $20bn/GW and a 20% gross margin. Separately, GOOGL's expanded custom-silicon agreement with MRVL (which our semis team wrote about here) is consistent with (and arguably supportive of) TPU pricing/ASPs running higher than we had assumed. **Given this new information, we are raising our TPU 1P sale estimates to $27bn/GW...selling at a 30% gross margin**. In all, we now expect GOOGL to sell 0.3 GW of TPU systems in 2H:26, 3.2 GW in '27 and 4.2 GW in '28. This now translates into $84bn/$108bn of TPU-related Google Cloud revenue in '27/'28.

Please let us know if interested in our TPU or updated Google Cloud backlog files.

Exhibit 1: We now expect $84bn/$108bn in '27/'28 1P TPU sales for GOOGL, +35%/+37% vs. our prior estimates



Source: Company data, Morgan Stanley Research

...and Higher Google Cloud Revenue and EBIT. Our updated TPU monetization assumptions drive up our TPU-related Google Cloud revenue and EBIT too, as we now model 118% revenue growth in '27 (vs. 106% prior) and 137% EBIT growth (vs.

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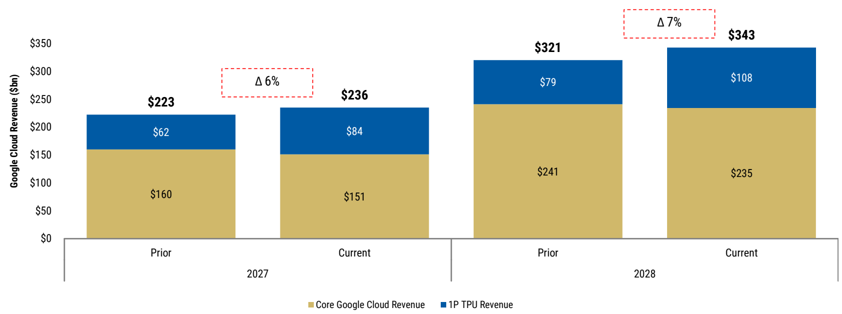
Alphabet Inc. (GOOGL.O, GOOGL US)

Internet | United States of America

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$400.00**
Shr price, close (Aug 21, 2026)	$344.82
Mkt cap, curr (mm)	$4,273,681
52-Week Range	$408.61-199.43

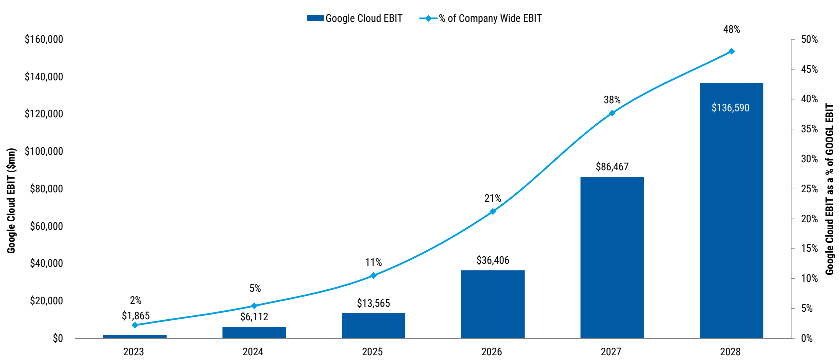
105% prior). **Our Google Cloud '27/'28 EBIT raises by 2%/2% as we now model cloud to make up 48% of company-wide EBIT in '28.**

Exhibit 2: Raising our TPU pricing and gross margins assumptions leads us to raise total Google Cloud forecasts by 6%/7% in '27/'28...



Source: Company data, Morgan Stanley Research

Exhibit 3: ... with Google Cloud now expected to comprise ~50% of GOOGL's company wide EBIT as soon as '28



Source: Company data, Morgan Stanley Research

What about Google Cloud Margins? Given the many moving pieces of Google Cloud margins (high incremental core margins, lower margin but larger incremental revenue TPU sales, the margin headwind from SPCX), we are also adding a bit of precision to our Google Cloud margin modeling (see below in Exhibit 4). As shown, we model core incremental margins to remain around 50%...but all in, our expected reported cloud margins come down slightly in '27/'28 from 38%/41% previously to 37%/40%. ***Please let us know if interested in our updated Google Cloud margin model.***

Exhibit 4: Excluding the impact of TPUs (which we estimate to have a ~30% EBIT margin) and GOOGL's compute deal with SPCX, we see core cloud incremental margins remaining high at ~50% through '27.

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2026	2027	2028
Google Cloud Reported Revenue	20,028	24,768	29,507	33,816	42,499	52,231	69,180	71,743	108,119	235,654	343,232
(-) TPU Revenue		1,350	2,906	3,879	9,931	16,635	29,809	27,906	8,135	84,281	108,251
(=) Google Cloud Revenue (ex-TPU)	**20,028**	**23,418**	**26,601**	**29,936**	**32,568**	**35,596**	**39,372**	**43,837**	**99,984**	**151,373**	**234,981**
Google Cloud EBIT	6,598	8,814	10,546	10,622	13,408	19,461	26,137	27,461	36,406	86,467	136,590
Google Cloud Reported Margins	***33%***	***36%***	***36%***	***31%***	***32%***	***37%***	***38%***	***38%***	***34%***	***37%***	***40%***
(-) TPU EBIT (30% margin)	0	405	872	1,164	2,979	4,990	8,943	8,372	2,441	25,284	32,475
(=) Google Cloud EBIT (ex-TPU)	6,598	8,409	9,674	9,458	10,429	14,470	17,194	19,089	33,965	61,182	104,115
Google Cloud EBIT Margin (ex-TPU)	*33%*	*36%*	*36%*	*32%*	*32%*	*41%*	*44%*	*44%*	*34%*	*40%*	*44%*
Google Cloud Incremental Margins(ex-TPU)	***57%***	***57%***	***53%***	***34%***	***31%***	***50%***	***59%***	***69%***	***49%***	***53%***	***51%***
Google Cloud EBIT (ex-TPU)	6,598	8,409	9,674	9,458	10,429	14,470	17,194	19,089	33,965	61,182	104,115
(+) SPCX Opex			920	2,760	2,760				3,680	2,760	0
(=) Google Cloud EBIT (ex-TPU, ex-SPCX)	6,598	8,409	10,594	12,218	13,189	14,470	17,194	19,089	37,645	63,942	104,115
Google Cloud EBIT Margin (ex-TPU, ex-SPCX)	*33%*	*36%*	*40%*	*41%*	*40%*	*41%*	*44%*	*44%*	*38%*	*42%*	*44%*
Google Cloud Incremental Margins (ex-TPU, ex-SPCX)	***57%***	***57%***	***61%***	***56%***	***53%***	***50%***	***52%***	***49%***	***57%***	***51%***	***48%***

Source: Company data, Morgan Stanley Research

Raising GOOGL '27/'28 Revenue by 2%/3%, EPS Moves Up by 1%/2%: Changes to our TPU pricing and gross margin assumptions highlighted above bring up our GOOGL company wide revenue estimates by 2%/3% in '27/'28. That said, we also take up our 'Other CoR' by 4%/6% to account for increased COGS to GOOGL as we align ex-TPU incremental margins. Here, we will continue to pay attention to GOOGL's new disclosure of inventory on the balance sheet for signs of buildup/ drawdown as these sales begin to kick in. Altogether, our '27/'28 EPS moves up by 1%/2% as a result of these changes. Applying a ~24X multiple to the average of our new '27/'28 EPS ($15/$18.50), we **maintain our $400 PT (~15% upside to current levels), implying a ~20% premium to peers on a growth-adjusted basis (whereas GOOGL currently trades at a 5% premium to peers).**

3 Catalysts to Re-Rate GOOGL from Here: While TPU sales drive upside to EPS, we believe **Gemini 4 returning Google to/near the frontier** is the most important catalyst to re-rate GOOGL back to levels last seen post Gemini 3 release (Nov. '25). Second, we will also be focused on the full suite of models, **including Gemini Flash (GOOGL's efficient, low-cost models)** as enterprises become increasingly budget conscious in their AI implementations. Lastly, we look for **fully-scaled product roll-outs across GOOGL's corpuses of uses** (such as the ones shown at Google IO detailed here) in order to showcase their ability to drive more durable search/ YouTube growth than currently appreciated.

Key Exhibits

Exhibit 5: We now see 1P sales of TPU systems monetizing for GOOGL at ~$27bn/GW (vs. ~$20bn previously), driven by a higher rack ASP and our 30% gross margin assumption (vs. 20% previously)

	2027	Notes
v8 Racks Sold	**31,154**	
(X) Rack ASP to GOOGL ($mn)	$1.7	MS Est. Rack Cost
(=) TPU COGS ($mn)	$53,321	
(X) Gross Margin	30.0%	MS Est.
(=) v8 Revenue ($mn)	**$69,317**	
v8 Racks Sold	31,154	
(X) v8 KW per Rack	83	Assumes 1.3 KW per chip (Rumored)
(=) v8 GW Shipments	**2.6**	
v9 Racks Sold	**6,114**	
(X) Rack ASP to GOOGL ($mn)	$1.9	Assumes 10% premium to est. v8 cost
(=) TPU COGS ($mn)	$11,511	
(X) Gross Margin	30.0%	MS Est.
(=) v9 Revenue ($mn)	**$14,964**	
v9 Racks Sold	6,114	
(X) v9 KW per Rack	96	Assumes 1.5 KW per chip
(=) v9 GW Shipments	**0.6**	
TPU 1P Sales ($mn)	**$84,281**	
(/) GW Shipments	3.2	
(=) Revenue/GW of 1P TPU v8 Sales ($mn)	**$26,512**	
(/) Cost of Racks per GW Vera Rubin	$32,446	
(=) Difference	**-18%**	

Source: Company data, Morgan Stanley Research

Exhibit 6: Our $400 GOOGL PT implies a ~24X multiple on an average of our $15/$18 '27/'28 EPS...

GOOGL Valuation			
	Bear	Base	Bull
'27/'28 Avg. EPS	$15.39	$16.84	$17.75
(X) P/E	15X	24X	26X
(=) Price Per Share	**$225**	**$400**	**$460**
% upside/(downside)	(36%)	14%	31%
Implied P/E on '27 EPS	15X	26X	30X
Implied P/E on '28 EPS	12X	22X	25X
Key Assumptions			
	Bear	**Base**	**Bull**
	'24-'27 Rev/EBIT CAGR: 24%/28%	**'24-'27 Rev/EBIT CAGR: 25%/31%**	**'24-'27 Rev/EBIT CAGR: 27%/33%**

Source: Company data, Morgan Stanley Research

Exhibit 7: … implying a ~20% premium to peers on a growth adjusted basis, vs. the ~5% premium GOOGL currently trades at.

Peer Set	Share Price	'28 EPS	'25-'28 EPS CAGR	'28 P/E	'28 PEG
AAPL	$309	$11	10%	29x	2.9x
MSFT	$483	$27	14%	18x	1.3x
META	$550	$33	9%	16x	1.8x
AMZN	$259	$15	20%	17x	0.8x
NFLX	$80	$4	15%	18x	1.1x
Peer Median			**14%**	**18x**	**1.3x**
GOOGL @ Current Share Price	**Share Price**	**'28 EPS**	**'25-'28 EPS CAGR**	**'28 P/E**	**'28 PEG**
GOOGL	**$348**	**$18.5**	**14%**	**19x**	**1.3x**
Premium/(Discount) vs. Median				**6%**	**3%**
GOOGL @ $400 PT	**Share Price**	**'28 EPS**	**'25-'28 EPS CAGR**	**'28 P/E**	**'28 PEG**
GOOGL	**$400**	**$18.5**	**14%**	**22x**	**1.5x**
Premium/(Discount) vs. Median				**22%**	**19%**

Source: Company data, Morgan Stanley Research

Exhibit 8: Updated Google Cloud Backlog Model

$, bns	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	1Q28	2Q28	3Q28	4Q28
TPU Backlog (v8)	$101.2	$99.9	$97.0	$93.1	$83.2	$66.5	$43.3	$23.8	$14.3	$7.1	$2.9	$0.9
Units (mn)	2,650											
Implied Racks	41,406											
Rack Cost to GOOGL ($k)	$1,712											
Gross Margin	30%											
Time Remaining in Backlog	3	2.75	2.5	2.25	2.00	1.75	1.50	1.25	1.00	0.75	0.50	0.25
% recognized as rev over 2 years	67%	73%	80%	89%	100%	100%	100%	100%	100%	100%	100%	100%
Backlog to be recognized 2 years	$67.5	$67.5	$72.6	$77.6	$82.8	$83.2	$66.5	$43.3	$23.8	$14.3	$7.1	$2.9
% of 2 Year Backlog Recognized in Next Quarter	0%	2%	4%	5%	12%	20%	35%	45%	40%	50%	60%	70%
TPUv8 Backlog Revenue	$0.0	$1.3	$2.9	$3.9	$9.9	$16.6	$23.3	$19.5	$9.5	$7.1	$4.3	$2.0
TPU Backlog (v9)					$112.1	$112.1	$105.5	$97.1	$84.2	$58.9	$29.5	$11.8
Units (mn)					2,667							
Implied Racks					41,667							
Rack Cost to GOOGL ($k)					$1,883							
Gross Margin					30%							
Time Remaining in Backlog					3.00	2.75	2.50	2.25	2.00	1.75	1.50	1.25
% recognized as rev over 2 years					67%	73%	80%	89%	100%	100%	100%	100%
Backlog to be recognized 2 years					$0.0	$74.7	$81.5	$84.4	$86.3	$84.2	$58.9	$29.5
% of 2 Year Backlog Recognized in Next Quarter					0%	0%	8%	10%	15%	30%	50%	60%
TPUv9 Backlog Revenue					$0.0	$0.0	$6.5	$8.4	$12.9	$25.2	$29.5	$17.7
v8 Racks		607	1,306	1,744	4,463	7,476	10,467	8,747	4,276	3,207	1,924	898
(x) v8 KW per Rack		83	83	83	83	83	83	83	83	83	83	83
(=) v8 GW		0.1	0.1	0.1	0.4	0.6	0.9	0.7	0.4	0.3	0.2	0.1
v9 Racks						0	2,664	3,450	5,290	10,315	12,034	7,221
(x) v9 KW per Rack						96	96	96	96	96	96	96
(=) v9 GW						0.0	0.3	0.3	0.5	1.0	1.2	0.7
								$84.3				$108.3
TPU Backlog Revenue		$1.3	$2.9	$3.9	$9.9	$16.6	$29.8	$27.9	$22.5	$32.4	$33.7	$19.7
(/) GW Sales		0.1	0.1	0.1	0.4	0.6	1.1	1.1	0.9	1.3	1.3	0.8
(=) Revenue/GW of Merchant Sales		$26.7	$26.7	$26.7	$26.7	$26.7	$26.5	$26.4	$26.0	$25.8	$25.6	$25.6
Non-TPU Backlog	$361	$414	$437	$461	$474	$510	$560	$608	$651	$703	$757	$796
Y/Y % Increase	290.4%	282.7%	177.1%	89.7%	31.3%	23.3%	28.2%	31.9%	37.3%	37.7%	35.1%	31.0%
Net Y/Y $ Increase	$268.4	$305.9	$279.3	$217.9	$113.0	$96.3	$123.2	$147.2	$176.8	$192.6	$196.5	$188.3
Q/Q % Increase	48%	15%	6%	5%	3%	8%	10%	9%	7%	8%	8%	5%
Net Q/Q $ Increase	$117.8	$53.3	$22.9	$23.9	$12.9	$36.6	$49.8	$47.9	$42.5	$52.4	$53.7	$39.7
% recognized as rev over 2 years	47%	47%	47%	47%	49%	51%	52%	54%	54%	54%	54%	54%
Backlog to be recognized 2 years	$123.9	$169.6	$194.6	$205.4	$216.6	$232.1	$260.3	$291.3	$328.4	$351.3	$379.6	$408.6
% of 2 Year Backlog Recognized in Next Quarter	10%	8%	9%	10%	11%	11%	11%	11%	13%	13%	13%	13%
Non-TPU Backlog Revenue	$11.8	$14.0	$17.0	$20.0	$22.7	$24.4	$28.0	$32.0	$41.0	$43.9	$47.4	$51.1
Backlog % of Revenue	58.8%	56.5%	57.7%	59.2%	53.5%	46.7%	40.4%	44.7%	54.7%	49.1%	50.3%	60.6%
Y/Y % Growth	102.1%	120.2%	128.9%	109.9%	93.2%	74.3%	64.3%	60.0%	80.5%	80.2%	69.6%	59.4%
Backlog Quarter End	$462	$514	$534	$554	$669	$689	$709	$729	$749	$769	$789	$809
Net Y/Y Increase	$370	$406	$376	$311	$207	$175	$175	$175	$80	$80	$80	$80
Net Q/Q Increase	$219	$52	$20	$20	$115	$20	$20	$20	$20	$20	$20	$20
Implied Gross Increase in Backlog Q/Q	$230.8	$67.3	$39.9	$43.9	$147.7	$61.0	$77.8	$79.9	$83.5	$96.3	$101.2	$90.7
(-) Prior Quarter Backlog Recognized	$11.8	$15.3	$19.9	$23.9	$32.7	$41.0	$57.8	$59.9	$63.5	$76.3	$81.2	$70.7
Net Increase in Backlog Q/Q	$219.0	$52.0	$20.0	$20.0	$115.0	$20.0	$20.0	$20.0	$20.0	$20.0	$20.0	$20.0
% recognized as rev over 2 years	52%	52%	52%	52%	53%	53%	53%	54%	53%	53%	53%	54%
Backlog to be recognized 2 years	$123.9	$240.2	$267.3	$277.7	$288.1	$354.6	$365.2	$375.8	$393.7	$397.0	$407.6	$418.2
% of 2 Year Backlog Recognized in Next Quarter	9.5%	6.4%	7.5%	8.6%	11.3%	11.6%	15.8%	16.0%	16.1%	19.2%	19.9%	16.9%
Core Backlog Revenue	$11.8	$15.3	$19.9	$23.9	$32.7	$41.0	$57.8	$59.9	$63.5	$76.3	$81.2	$70.7
Backlog % of Revenue	59%	62%	68%	71%	77%	79%	84%	84%	85%	85%	86%	84%
Y/Y % Growth	102%	141%	168%	151%	178%	167%	190%	151%	94%	86%	40%	18%
Implied Non Backlog Cloud Revenue	$8.3	$9.4	$9.6	$9.9	$9.8	$11.2	$11.4	$11.8	$11.6	$13.1	$13.2	$13.6
Y/Y % Growth	28%	30%	24%	22%	19%	19%	19%	19%	18%	17%	16%	15%
Incremental Non-TPU Google Cloud Revenue	$7.8	$9.8	$11.4	$12.3	$12.5	$12.2	$12.8	$13.9	$20.1	$21.4	$21.3	$20.8
(/) GW Additions	0.6	0.6	0.6	0.6	0.9	0.9	0.9	0.9	1.1	1.1	1.1	1.1
(=) Incremental Revenue/GW of Core Cloud	$13.4	$16.9	$19.8	$21.2	$14.4	$14.0	$14.7	$16.0	$18.3	$19.5	$19.4	$18.9
Implied Cloud Revenue	$20.0	$24.8	$29.5	$33.8	$42.5	$52.2	$69.2	$71.7	$75.1	$89.4	$94.4	$84.3
Y/Y % Growth	63%	82%	95%	91%	112%	111%	134%	112%	77%	71%	36%	18%
Modeled Google Cloud Rev	$20	$24.8	$29.51	$33.82	$42.50	$52.2	$69.18	$71.74				
Growth Y/Y	63%	82%	95%	91%	112%	111%	134%	112%				

Source: Company data, Morgan Stanley Research

Exhibit 9: Prior vs. Current

	2026 Prior	2027 Prior	2028 Prior	2026 Current	2027 Current	2028 Current	2026 Revision	2027 Revision	2028 Revision
Total Gross revenue (GAAP)	**500,610.9**	**653,470.7**	**793,581.8**	**500,610.9**	**665,845.6**	**813,675.7**	**0.0%**	**1.9%**	**2.5%**
Traffic acquisition costs (TAC)	**65,567.3**	**70,315.9**	**75,049.4**	**65,567.3**	**70,248.9**	**74,606.6**	**0.0%**	**-0.1%**	**-0.6%**
TAC as % of advertising revenue	19.6%	19.4%	19.1%	19.6%	19.4%	19.1%	0.0%	0.0%	0.0%
Total Net revenue	**435,043.7**	**583,154.8**	**718,532.4**	**435,043.7**	**595,596.7**	**739,069.1**	**0.0%**	**2.1%**	**2.9%**
Other cost of revenue (ex-TAC, ex-SBC)	125,230.1	198,462.1	255,299.0	130,160.9	206,969.8	270,008.1	3.9%	4.3%	5.8%
Gross profit (GAAP)	**304,646.7**	**378,980.8**	**456,981.6**	**299,715.9**	**382,804.9**	**462,648.8**	**-1.6%**	**1.0%**	**1.2%**
Gross margin	70.0%	65.0%	63.6%	68.9%	64.3%	62.6%			
Total costs & expenses (GAAP)	**324,215.6**	**426,009.6**	**512,699.8**	**329,146.4**	**436,367.7**	**529,266.4**	**1.5%**	**2.4%**	**3.2%**
Total operating expenses (Non-GAAP)	**128,251.4**	**151,519.8**	**176,099.6**	**128,251.4**	**153,326.9**	**178,239.5**	**0.0%**	**1.2%**	**1.2%**
Research and development (ex-SBC)	60,713.9	80,900.7	99,681.5	60,713.9	81,708.1	100,282.1	0.0%	1.0%	0.6%
Sales and marketing (ex-SBC)	27,487.1	28,779.9	31,149.9	27,487.1	29,038.4	31,599.0	0.0%	0.9%	1.4%
General and administrative (ex-SBC)	15,225.9	14,450.1	15,289.8	15,225.9	14,682.8	15,633.0	0.0%	1.6%	2.2%
Stock-based compensation	29,991.3	33,100.9	36,230.2	29,991.3	33,719.6	37,137.6	0.0%	1.9%	2.5%
Depreciation	34,069.4	74,108.9	124,665.4	34,069.4	74,108.9	128,228.5	0.0%	0.0%	2.9%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	0.0	--	--	--
EBITDA (adjusted)	**241,667**	**337,106**	**441,880**	**236,736**	**339,741**	**449,877**	**-2.0%**	**0.8%**	**1.8%**
EBITDA margin (adjusted)	**55.6%**	**57.8%**	**61.5%**	**54.4%**	**57.0%**	**60.9%**	-1.1%	-0.8%	-0.6%
Incremental EBITDA margin	72.2%	64.4%	77.4%	66.9%	64.2%	76.8%	-5.4%	-0.3%	-0.6%
Total operating income (GAAP)	**176,395**	**227,461**	**280,882**	**171,465**	**229,478**	**284,409**	**-2.8%**	**0.9%**	**1.3%**
Total operating income margin (GAAP)	**35.2%**	**34.8%**	**35.4%**	**34.3%**	**34.5%**	**35.0%**	-1.0%	-0.3%	-0.4%
Other income/(expense), net (GAAP)	135,399.7	(2,171.2)	(8,057.7)	135,379.2	(2,446.1)	(6,581.0)	0.0%	12.7%	-18.3%
Pretax income (GAAP)	**311,795.0**	**225,289.8**	**272,824.3**	**306,843.7**	**227,031.9**	**277,828.3**	**-1.6%**	**0.8%**	**1.8%**
Income tax expense (GAAP)	56,694.8	36,046.4	44,941.4	55,902.6	36,325.1	45,746.0	-1.4%	0.8%	1.8%
Tax rate (GAAP)	18.2%	16.0%	16.5%	18.2%	16.0%	16.5%	4 bp	0 bp	-1 bp
Net income (reported GAAP)	**255,100.2**	**189,243.5**	**227,883.0**	**250,941.1**	**190,706.8**	**232,082.3**	-1.6%	0.8%	1.8%
Net income (GAAP), continuing ops	255,100.2	189,243.5	227,883.0	250,941.1	190,706.8	232,082.3	-1.6%	0.8%	1.8%
EPS (GAAP)	**$20.62**	**$15.08**	**$18.16**	**$20.29**	**$15.19**	**$18.49**	**-1.6%**	**0.8%**	**1.8%**
Basic shares	12,221.3	12,399.7	12,397.8	12,221.3	12,399.7	12,397.8	0.0%	0.0%	0.0%
Diluted shares	12,369.6	12,550.8	12,548.8	12,369.6	12,550.8	12,548.8	0.0%	0.0%	0.0%
Free Cash Flow	(11,545.2)	(67,956.2)	(9,140.3)	(11,122.7)	(69,239.9)	286.9	-3.7%	1.9%	-103.1%
Free Cash Flow per Share	($0.93)	($5.41)	($0.73)	($0.90)	($5.52)	$0.02	-3.7%	1.9%	-103.1%
Capex	$204,996.00	$375,046.00	$400,046.00	$204,996.00	$375,046.00	$400,046.00	0.0%	0.0%	0.0%

Source: Company data, Morgan Stanley Research

Risk Reward – Alphabet Inc. (GOOGL.O)

Alphabet Inc.

PRICE TARGET $400.00

Our $400 PT is based on applying a ~24X P/E multiple to the average of our $15/$18 EPS in '27/'28, and implies paying ~1.6X PEG, a ~35% premium to GOOGL's peer median.

Consensus Price Target Distribution $240.00 $421.23 MS PT $515.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

OVERWEIGHT THESIS

- Continued AI-driven platform-level innovation on Search, YouTube, Cloud, and with other offerings improve confidence in the durability of long term growth.
- Continued expense discipline leads to operating leverage and upward revisions on EPS and FCF estimates.

Consensus Rating Distribution

- 90% Overweight
- 10% Equal-weight
- 0% Underweight

● MS Rating

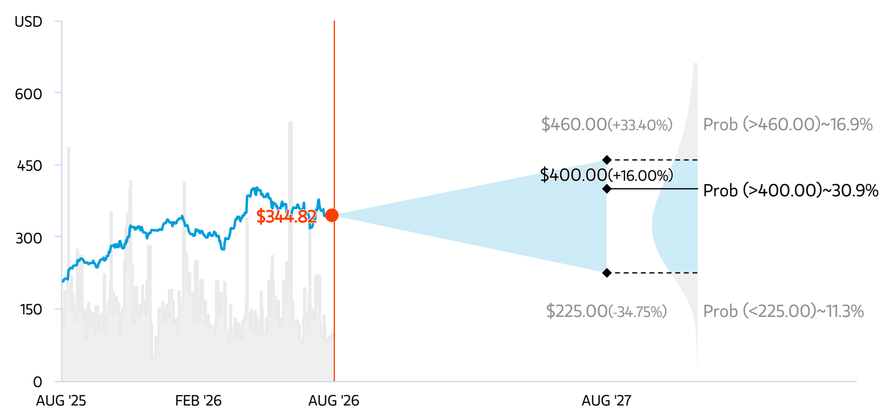
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes here

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

BULL CASE $460.00

~26X Avg. '27/'28 Bull Case EPS of ~$16/~$20

Faster innovation and Search/GCP acceleration lead to multiple expansion and higher earnings power. Search revenue accelerates as AI-driven innovation delivers meaningful upside to engagement. New AI offerings prove incremental to the top and bottom line and don't cannibalize core Search. YouTube and Cloud become even bigger contributors to top-line growth, and operate at a higher margin than in our base case.

BASE CASE $400.00

~24X Avg. '27/'28 Base Case EPS of ~$15/~$18

Assumes pragmatic search revenue growth in '26, continued incremental platform monetization and Google Cloud acceleration in '26. As GOOGL continues platform-level innovation on Search and other categories, we assume pragmatic revenue/EBITDA growth. GOOGL introduces new AI offerings which increase confidence in the durability of long term growth and calm fears around competition. Google Cloud accelerates driven by new partnerships and growing backlog.

BEAR CASE $225.00

~15X Avg. '27/'28 Bear Case EPS of ~$14/~$16

Global ad growth slows further and margins face pressure. Assumes slower search advertising growth, and that ad spending slows further. Expense discipline fails to materialize leading to lower than expected margin expansion and adj. EBITDA. New AI products create greater than expected margin pressure due to lower monetization rates and increased compute intensity.

Risk Reward – Alphabet Inc. (GOOGL.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total operating income (GAAP) ($, mm)	129,039	171,465	229,478	284,409
GAAP Operating Income (Loss) ($, mm)	137,054	178,940	236,678	290,959

INVESTMENT DRIVERS

- Search advertising spend continues to gain share of global advertising budgets.
- Mobile search advertising continues to take share of online budgets.
- Investments in video driving longer-term monetization at YouTube.
- Moderation of expense growth.

GLOBAL REVENUE EXPOSURE

- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 40-50% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New products generate higher than expected top line contribution.
- Capital returns through greater share buybacks.
- Hiring and/or spend per headcount is lower than expected.

RISKS TO DOWNSIDE

- High exposure to SMB and travel could pressure ad revenue in a recession
- Improved disclosure around the Google and Other Alphabet segments may not decrease the overall investment activity of the business.

OWNERSHIP POSITIONING

Inst. Owners, % Active	56.5%
HF Sector Long/Short Ratio	2.4x
HF Sector Net Exposure	11.4%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue ($, mm)	487,900	500,611	497,904	519,818
EBITDA ($, mm)	223,773	236,736	233,190	241,667
Net income ($, mm)	243,916	250,941	253,882	268,656
EPS ($)	19.70	20.29	20.60	21.92

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 10: GOOGL Income Statement

Morgan Stanley | Google Income Statement					
(USD millions)	2025	2026E	2027E	2028E	25-'28 CAGR
Gross revenue build (GAAP)					
Total Alphabet revenue	**$402,836.0**	**$500,610.9**	**$665,845.6**	**$813,675.7**	**26%**
Total Advertising	294,691.0	333,853.5	362,350.1	390,671.3	10%
Google Websites	264,899.0	304,702.9	333,723.4	362,466.7	11%
Network Websites	29,792.0	29,150.7	28,626.7	28,204.6	-2%
Google Other & Other Bets	108,272.0	166,631.4	303,095.5	422,604.4	57%
Hedging gains (losses)	(127.0)	126.0	400.0	400.0	
Total Gross revenue (GAAP)	**402,836.0**	**500,610.9**	**665,845.6**	**813,675.7**	**26%**
Total cost of revenue (GAAP)	**162,535.0**	**200,895.0**	**283,040.7**	**351,026.9**	**29%**
Total gross profit (GAAP)	**240,301.0**	**299,715.9**	**382,804.9**	**462,648.8**	**24%**
Total gross margin (GAAP)	59.7%	59.9%	57.5%	56.9%	
Traffic acquisition costs (TAC)	**59,926.0**	**65,567.3**	**70,248.9**	**74,606.6**	8%
TAC as % of advertising revenue	20.3%	19.6%	19.4%	19.1%	
Total Net revenue (ex-TAC)	**342,910.0**	**435,043.7**	**595,596.7**	**739,069.1**	**29%**
Total operating expenses (GAAP)	**111,262.0**	**128,251.4**	**153,326.9**	**178,239.5**	**17%**
Research and development (ex-SBC)	48,778.6	60,713.9	81,708.1	100,282.1	27%
Sales and marketing (ex-SBC)	24,679.9	27,487.1	29,038.4	31,599.0	9%
General and administrative (ex-SBC)	17,157.6	15,225.9	14,682.8	15,633.0	-3%
Stock-based compensation (including COGS)	24,953.0	29,991.3	33,719.6	37,137.6	14%
Non-recurring items	0.0	0.0	0.0	0.0	
Depreciation (included in expense lines)	21,136.0	34,069.4	74,108.9	128,228.5	82%
Total amortization of intangibles (included in expense lines)	0.0	1,211.1	2,435.0	102.0	
Total costs & operating expenses (GAAP)	**273,797.0**	**329,146.4**	**436,367.7**	**529,266.4**	**25%**
Total costs & operating expenses (adjusted)	248,844.0	299,155.1	402,648.0	492,128.8	
Total operating income (GAAP)	**129,039.0**	**171,464.5**	**229,478.0**	**284,409.3**	**30%**
Total operating margin (GAAP)	32.0%	34.3%	34.5%	35.0%	
Total operating income, non-GAAP	**153,992.0**	**201,455.8**	**263,197.6**	**321,547.0**	
Total operating margin (adjusted)	38.2%	40.2%	39.5%	39.5%	
EBITDA (adjusted)	**175,128.0**	**236,736.4**	**339,741.4**	**449,877.5**	**37%**
EBITDA margin	51.1%	54.4%	57.0%	60.9%	
Incremental EBITDA margin	51.6%	66.9%	64.2%	76.8%	
Interest and other income, net	**29,787.0**	**135,379.2**	**(2,446.1)**	**(6,581.0)**	
Interest income	4,337.0	6,254.8	7,595.9	5,810.8	
Interest expense	(736.0)	(5,254.6)	(9,402.0)	(11,751.8)	
Foreign currency exchange losses, net	(382.0)	(334.0)	(640.0)	(640.0)	
Gain (loss) on marketable securities, net	24,620.0	135,803.0	0.0	0.0	
Other	(16.0)	(1,090.0)	0.0	0.0	
Other income (expense), net	1,964.0	0.0	0.0	0.0	
Interest and other income, net	29,787.0	135,379.2	(2,446.1)	(6,581.0)	
Pre-tax income (GAAP)	**158,826.0**	**306,843.7**	**227,031.9**	**277,828.3**	
Income tax provision (GAAP)	**26,656.0**	**55,902.6**	**36,325.1**	**45,746.0**	
Tax rate (GAAP)	**16.8%**	**18.2%**	**16.0%**	**16.5%**	
Net income (GAAP), continuing ops	**132,170.0**	**250,941.1**	**190,706.8**	**232,082.3**	
Net income (loss) from discontinued ops	0.0	0.0	0.0	0.0	
Net income, reported	**132,170.0**	**250,941.1**	**190,706.8**	**232,082.3**	**21%**
EPS (GAAP), from continuing ops	**$10.81**	**$20.29**	**$15.19**	**$18.49**	
EPS (GAAP) as reported	**$10.81**	**$20.29**	**$15.19**	**$18.49**	**20%**

Source: Company data, Morgan Stanley Research

Exhibit 11: GOOGL Balance Sheet

Morgan Stanley | Google Balance Sheet				
(USD millions)	**2025**	**2026E**	**2027E**	**2028E**
Assets:				
Cash & Cash Equivalents	30,708.0	115,277.3	67,077.2	32,105.7
Marketable securities	96,135.0	176,563.0	176,563.0	176,563.0
Accounts receivable	62,886.0	81,030.3	113,488.2	139,814.5
Receivable under reverse repurchase agreements	0.0	0.0	0.0	0.0
Deferred income taxes	0.0	0.0	0.0	0.0
Income taxes receivables	0.0	0.0	0.0	0.0
Prepaid revenue share, expenses and other assets	16,309.0	20,367.8	26,229.0	32,342.2
Total Current Assets	**206,038.0**	**393,238.5**	**383,357.4**	**380,825.4**
Prepaid revenue share, expenses and other assets, non-current	24,334.0	17,142.0	11,142.0	11,142.0
Deferred income taxes, non-current	0.0	0.0	0.0	0.0
Non-marketable equity securities	68,687.0	131,461.0	131,461.0	131,461.0
Property and equipment	246,597.0	425,126.6	726,063.7	997,881.2
Intangible assets	5,614.5	31,839.5	29,654.5	29,802.5
Goodwill	44,010.5	73,843.4	74,093.4	74,343.4
Total Assets	**595,281.0**	**1,072,650.9**	**1,355,772.0**	**1,625,455.5**
Liabilities:	**0.0**	**0.0**	**0.0**	**0.0**
Accounts Payable	12,200.0	18,779.9	26,428.7	35,217.5
Short-term debt	0.0	25,000.0	80,000.0	80,000.0
Accrued compensation and benefits	17,546.0	21,912.6	27,951.4	33,902.0
Accrued expenses and other current liabilities	55,557.0	68,994.3	88,007.9	104,362.3
Accrued revenue share	10,864.0	12,891.5	16,369.7	19,854.7
Securities lending payable	0.0	0.0	0.0	0.0
Deferred revenue	6,578.0	7,154.0	7,154.0	7,154.0
Income taxes payable	0.0	0.0	0.0	0.0
Total Current Liabilities	**102,745.0**	**154,732.3**	**245,911.7**	**280,490.5**
Long-Term Debt	46,547.0	98,165.0	98,165.0	98,165.0
Deferred revenue, non-current	0.0	0.0	0.0	0.0
Income taxes payable, non-current	9,531.0	1,899.2	2,874.7	3,517.9
Other Long-Term Liabilities	21,193.0	45,921.0	45,921.0	45,921.0
Total Liabilities	**180,016.0**	**300,717.5**	**392,872.4**	**428,094.4**
Shareholders' Equity:	**0.0**	**0.0**	**0.0**	**0.0**
Preferred Equity	0.0	0.0	0.0	0.0
Common Equity	93,126.0	204,677.3	238,396.9	275,534.6
Deferred stock-based compensation	0.0	0.0	0.0	0.0
AOC Income / (Loss)	(1,916.0)	(2,285.0)	(2,285.0)	(2,285.0)
Retained Earnings	324,055.0	569,541.1	726,787.7	924,111.5
Total Shareholders' Equity	**415,265.0**	**771,933.4**	**962,899.6**	**1,197,361.1**
Total Liabilities & Shareholders' Equity	**595,281.0**	**1,072,650.9**	**1,355,772.0**	**1,625,455.5**

Source: Company data, Morgan Stanley Research

Exhibit 12: GOOGL Cash Flow Statement

Morgan Stanley | Google Cash Flow Statement				
(USD millions)	**2025**	**2026E**	**2027E**	**2028E**
Operating Cash Flow:				
Net Income	132,170.0	250,941.1	190,706.8	232,082.3
Depreciation & Amortization of PP&E	21,136.0	34,069.4	74,108.9	128,228.5
Amortization of intangible and other assets	0.0	1,211.1	2,435.0	102.0
Stock-Based Compensation	24,953.0	29,991.3	33,719.6	37,137.6
Excess tax benefit from stock-based award activity	0.0	0.0	0.0	0.0
Deferred Income Taxes	8,348.0	29,538.0	6,000.0	0.0
Other	(22,512.0)	(132,642.0)	0.0	0.0
Funds from Operations (FFO)	**164,095.0**	**213,109.0**	**306,970.2**	**397,550.4**
Changes in Working Capital:				
Accounts receivable	(8,525.0)	(25,455.3)	(32,457.9)	(26,326.3)
Income taxes	(3,226.0)	(1,102.8)	975.5	643.2
Prepaid revenue share, expenses and other assets	(4,542.0)	514.2	(5,861.2)	(6,113.2)
Accounts payable	(544.0)	611.9	7,648.8	8,788.8
Accrued expenses and other liabilities	14,136.0	3,114.9	25,052.4	22,305.0
Accrued revenue share	899.0	2,576.5	3,478.2	3,485.0
Deferred revenue	2,420.0	505.0	0.0	0.0
Changes in Working Capital	**618.0**	**(19,235.7)**	**(1,164.1)**	**2,782.5**
Operating Cash Flow	**164,713.0**	**193,873.3**	**305,806.1**	**400,332.9**
Investing Cash Flow:	**0.0%**	**0.0%**	**0.0%**	**0.0%**
Capex	(91,447.0)	(204,996.0)	(375,046.0)	(400,046.0)
Purchase of marketable securities	(103,773.0)	(76,480.0)	0.0	0.0
Maturities and sales of marketable securities	83,240.0	76,696.0	0.0	0.0
Investments in non-marketable equity securities	(4,349.0)	761.0	0.0	0.0
Cash collateral received from securities lending	0.0	0.0	0.0	0.0
Investments in reverse repurchase agreements	0.0	0.0	0.0	0.0
Acquisitions, net of cash acquired, and purchases of intangible and othe	(3,962.0)	(56,451.0)	(500.0)	(500.0)
Investing Cash Flow	**(120,291.0)**	**(260,470.0)**	**(375,546.0)**	**(400,546.0)**
Financing Cash Flow:	**0.0**	**0.0**	**0.0**	**0.0**
Net payments related to stock-based award activities	(14,167.0)	(12,056.0)	0.0	0.0
Net proceeds from a public stock offering	0.0	40,000.0	0.0	0.0
Excess tax benefit from stock-based award activities	0.0	0.0	0.0	0.0
Repurchase of common stock in connection with acquisitions	0.0	0.0	0.0	0.0
Repurchase of common stock	(45,709.0)	0.0	(33,460.2)	(34,758.5)
Proceeds from issuance of debt, net of costs	64,564.0	81,226.0	55,000.0	0.0
Repayment of debt	(32,026.0)	44,692.0	0.0	0.0
Cash dividend payments	(10,050.0)	(2,542.0)	0.0	0.0
Other	0.0	0.0	0.0	0.0
Financing Cash Flow	**(37,388.0)**	**151,320.0**	**21,539.8**	**(34,758.5)**
Effects of FX	208.0	(154.0)	0.0	0.0
Beginning Cash	23,466.0	30,708.0	115,277.3	67,077.2
(+/-) Net Changes in Cash	7,242.0	84,569.3	(48,200.1)	(34,971.5)
(+/-) Restatements / Adjustments (pre-10-Q / K)	0.0	0.0	0.0	0.0
Ending Cash	**30,708.0**	**115,277.3**	**67,077.2**	**32,105.7**

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Airbnb Inc, **Alphabet Inc.**, Amazon.com Inc, Compass, Inc., eBay Inc, Liftoff Mobile Inc., Meta Platforms Inc, Uber Technologies Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Airbnb Inc, **Alphabet Inc.**, Amazon.com Inc, Chewy Inc, eBay Inc, Instacart, Liftoff Mobile Inc., Meta Platforms Inc, Uber Technologies Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Airbnb Inc, **Alphabet Inc.**, Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Bumble Inc., Chewy Inc, Criteo SA, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Etsy Inc, Expedia Inc., FIGS, Inc., Instacart, Liftoff Mobile Inc., Lyft Inc, Match Group Inc, Meta Platforms Inc, MNTN Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Roblox Corporation, Snap Inc., Take-Two Interactive Software, Trade Desk Inc, Uber Technologies Inc, Unity Software Inc, Webtoon Entertainment Inc, Yelp Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Airbnb Inc, **Alphabet Inc.**, Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Chewy Inc, DoorDash Inc, eBay Inc, Expedia Inc., Instacart, Liftoff Mobile Inc., Match Group Inc, Meta Platforms Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Snap Inc., Take-Two Interactive Software, Uber Technologies Inc, Unity Software Inc, WW International Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Airbnb Inc, **Alphabet Inc.**, Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Bumble Inc., Chewy Inc, Compass, Inc., Criteo SA, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Etsy Inc, Expedia Inc., FIGS, Inc., Instacart, Liftoff Mobile Inc., Lyft Inc, Match Group Inc, Meta Platforms Inc, MNTN Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Roblox Corporation, Snap Inc., Take-Two Interactive Software, Trade Desk Inc, Uber Technologies Inc, Unity Software Inc, Webtoon Entertainment Inc, Yelp Inc, Zillow Group Inc.

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Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

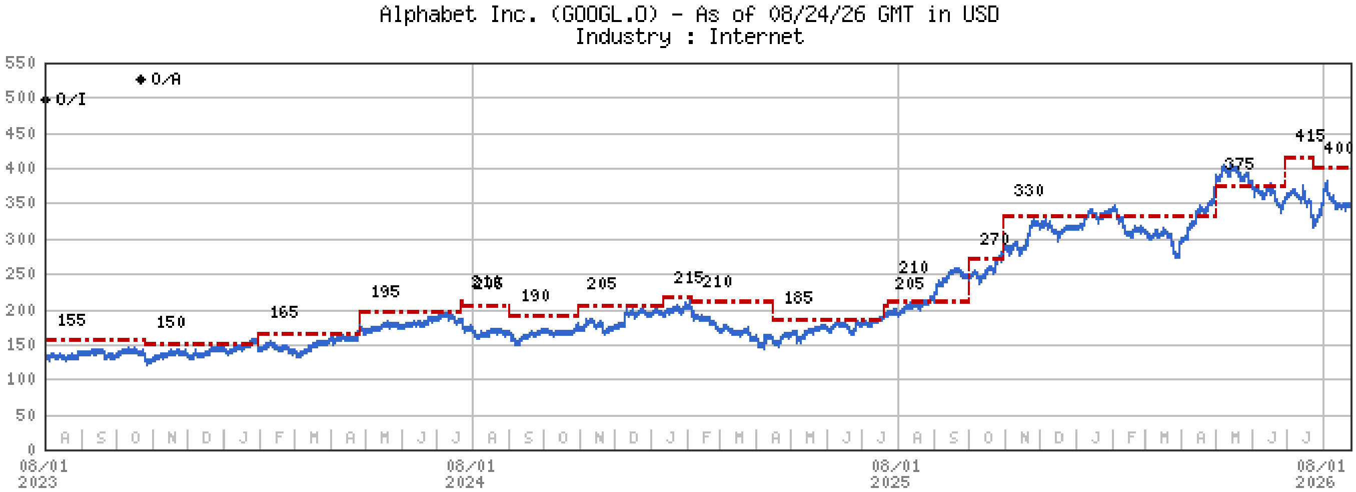
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : O/I; 10/22/23 : O/A

Price Target History: 7/27/21 : 150; 11/1/21 : 160; 1/19/22 : 171.5; 2/2/22 : 172.5; 4/27/22 : 163.5; 5/31/22 : 150; 7/18/22 : 140; 7/27/22 : 145; 10/9/22 : 135; 10/26/22 : 125; 11/14/22 : 120; 1/17/23 : 125; 2/3/23 : 135; 4/25/23 : 140; 7/12/23 : 150; 7/26/23 : 155; 10/25/23 : 150; 1/31/24 : 165; 4/26/24 : 195; 7/22/24 : 210; 7/24/24 : 205; 9/2/24 : 190; 10/30/24 : 205; 1/12/25 : 215; 2/5/25 : 210; 4/16/25 : 185; 7/20/25 : 205; 7/23/25 : 210; 10/1/25 : 270; 10/30/25 : 330; 4/30/26 : 375; 6/29/26 : 415; 7/23/26 : 400

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/24/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	$190.21
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	$348.06
Amazon.com Inc (AMZN.O)	O (04/24/2015)	$262.07
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	$213.36
DoorDash Inc (DASH.O)	O (02/21/2024)	$229.06
Expedia Inc. (EXPE.O)	E (01/09/2019)	$339.13
Instacart (CART.O)	E (01/29/2024)	$51.78
Lyft Inc (LYFT.O)	E (10/24/2019)	$17.68
Meta Platforms Inc (META.O)	O (03/20/2023)	$559.02
Pinterest Inc (PINS.N)	O (07/20/2025)	$23.47
Reddit Inc (RDDT.N)	O (12/08/2024)	$152.70
Snap Inc. (SNAP.N)	E (07/22/2024)	$5.53
Uber Technologies Inc (UBER.N)	++	$79.29
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	$298.59
Compass, Inc. (COMP.N)	E (01/12/2026)	$11.55
Criteo SA (CRTO.O)	E (01/26/2016)	$17.09
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	$13.30
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	$19.16
MNTN Inc (MNTN.N)	E (06/16/2025)	$12.93
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	$3.43
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	$2.42
Roblox Corporation (RBLX.N)	O (11/04/2024)	$38.76
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	$233.50
Trade Desk Inc (TTD.O)	E (09/10/2025)	$13.27
Unity Software Inc (U.N)	O (09/02/2024)	$46.16
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	$9.59

Yelp Inc (YELP.N)	U (01/10/2019)	$23.83
Zillow Group Inc (Z.O)	E (04/18/2018)	$37.05
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	$2.85
Chewy Inc (CHWY.N)	O (10/31/2023)	$24.50
Duolingo Inc (DUOL.O)	E (02/27/2026)	$146.84
eBay Inc (EBAY.O)	O (04/18/2024)	$107.08
Etsy Inc (ETSY.N)	E (07/20/2025)	$87.03
FIGS, Inc. (FIGS.N)	E (02/29/2024)	$15.21
Grindr Inc. (GRND.N)	O (07/01/2026)	$15.58
Match Group Inc (MTCH.O)	E (04/18/2024)	$41.73
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	$5.36
Revolve Group Inc (RVLV.N)	E (10/20/2024)	$23.96
WW International Inc (WW.O)	E (08/01/2025)	$15.99

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* Historical prices are not split adjusted.